# AXIA ENERGIA & ISA ENERGIA

**Brazil**

March 20, 2026 | Sector Flash

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## An Accretive Move for ISA; A Strategic Move for AXIA

**Today, Axia Energia and Isa Energia announced an asset-swap agreement involving two transmission assets. Axia Energia will consolidate 100% of its stake in IE Garanhuns, while Isa Energia will consolidate 100% of its stake in IE Madeira, in addition to paying BRL 1.2 billion to Axia Energia**. This represents another step in Axia's commitment to optimizing its minority stakes and portfolio while simplifying its structure, reducing its booked value from minority stakes by roughly BRL 3 billion. From a valuation standpoint, the announcement was NPV neutral for Axia and slightly positive for Isa Energia. **Additionally, Isa Energia announced the opening of a conversion period for common shares (ISAE3) into preferred shares (ISAE4), which has already been approved by Axia Energia**. It is important to note that Axia Energia currently holds 9.7% of ISAE3 and 29.3% of ISAE4, which will now become 2.2% of ISAE3 and 32.6% of ISAE4, indicating an increase in Axia's stake in the more liquid shares. It is important to highlight that these stocks, once converted, will not have any lock-up period.

- **The transaction structure.** The transaction involves ISA Energia acquiring the combined 49% stakes held by AXIA Energia (24.5%) and AXIA Energia Nordeste (24.5%) in IE Madeira, while AXIA Energia Nordeste acquires ISA Energia's 51% stake in IE Garanhuns. As part of the agreement, ISA Energia will pay a cash consideration of BRL 1.2 billion to AXIA Energia (as of December 2025), not subject to monetary adjustments. The closing date has not yet been disclosed; however, the companies indicated that completion of the transaction remains feasible within 2026.
- **Assets overview.**
  - **IE Madeira:** Allowed Annual Revenue (RAP), net of taxes, is BRL 760.7 million for the 2025/2026 cycle, ending 2025 with a Regulatory EBITDA of BRL 660.1 million and net debt of BRL 588.2 million. The concession includes 2,385 km of direct current line across the states of Rondônia, Mato Grosso, Goiás, Minas Gerais, and São Paulo, expiring in February 2034.
  - **IE Garanhuns:** Allowed Annual Revenue (RAP), net of taxes, is BRL 157.9 million for the 2025/2026 cycle, ending 2025 with a Regulatory EBITDA of BRL 134.2 million and net debt of BRL 42.6 million. The concession includes 635 km of line across the states of Pernambuco, Paraíba, and Alagoas, expiring in December 2041.
- **Main Assumptions**. In our base case scenario for IE Madeira, we assume: i) an EBITDA margin of 88%; ii) a cost of debt of TJLP + 2.4%; iii) an average tax rate of 22.8% until 2033 (partial SUDAM/SUDENE tax benefit) and 34% from 2034 onward. For IE Garanhuns, we assume: i) an EBITDA margin of 91% for 2026, 92% for 2027, and 93% from 2028 onward, reflecting increasing synergies with Axia's operations; ii) a cost of debt of TJLP + 2%; iii) an average tax rate of 17.1% until 2033 (SUDAM/SUDENE tax benefit) and 34% from 2034 onward. **When we calculate the NPV for this asset rotation, including the cash payment by ISA Energia to Axia of BRL 1,174 million, we find a slight value creation of BRL 418 million for ISA (BRL 0.6/share), while for AXIA, the deal would be NPV neutral (a negative impact of less than BRL 0.1/share).**
- **More details on the share conversion.** Along with the transaction of the transmission assets, Axia announced that it has requested and obtained approval from the Board of Directors of ISA Energia for the conversion of approximately 19.766 million ordinary shares into preferred shares, at a 1:1 ratio. As a result of the transaction, Axia will now hold 32.6% of ISA Energia's preferred shares while still maintaining a stake of approximately 2.2% in

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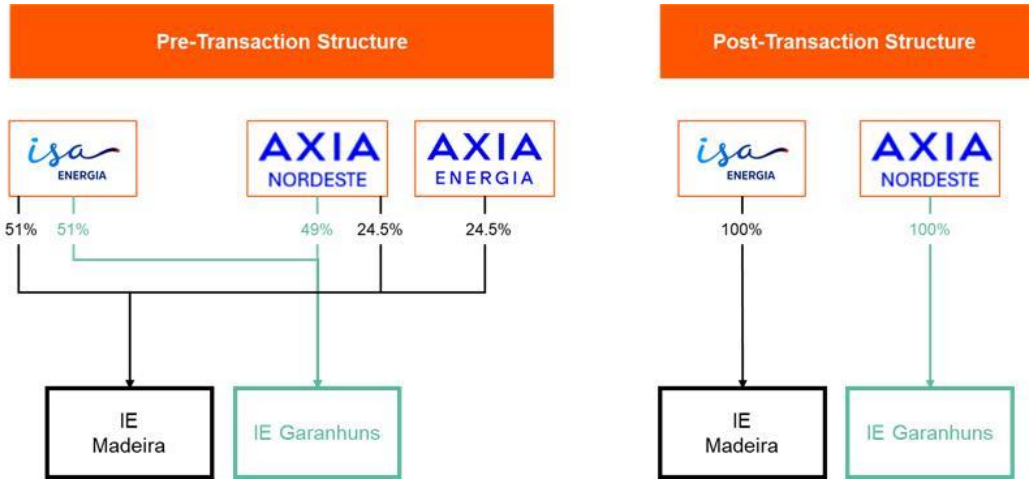
the company's ordinary shares. According to Axia's 2025 financial statement, about 14.4% of the company's financial rights in ISA Energia were locked in as guarantees related to legal disputes. Most of these locked shares were ordinary shares, which, in the case of Axia, did not provide any representation in the administration of ISA Energia and reduced the company's ability to monetize these shares in the market due to the low liquidity of ISAE3. **After the conversion, while this 14.4% will remain locked, the company will be able to seek the best alternatives to monetize its stake. It is important to highlight that these shares, once converted, will not have any lock-up.**

## Structure Pre and Post Transaction

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## Summary of NPV for ISA and AXIA (BRL in Millions)

| NPV For ISA Energia | |
|---|---|
| Madeira (49% stake) | 2,186 |
| Garanhus (51% stake) | -594 |
| Cash Disbursement | -1,174 |
| **NPV (BRL in Millions)** | **418** |
| **NPV (BRL/sh)** | **0.6** |

| NPV For AXIA | |
|---|---|
| Madeira (49% stake) | -2,186 |
| Garanhus (51% stake) | 594 |
| Cash Received | 1,174 |
| **NPV (BRL in Millions)** | **-418** |
| **NPV (BRL/sh)** | **-0.1** |

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